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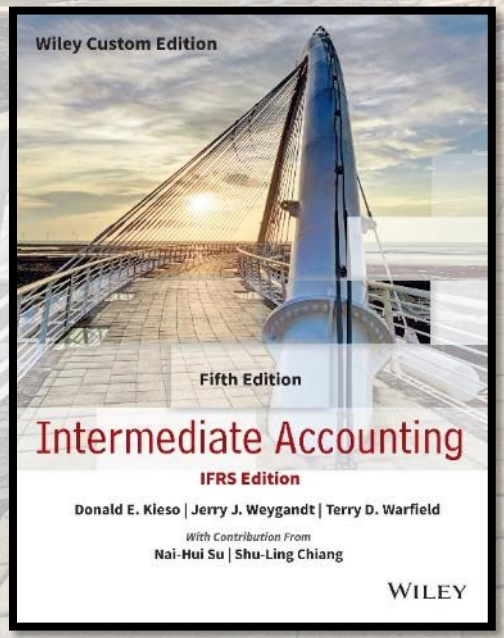
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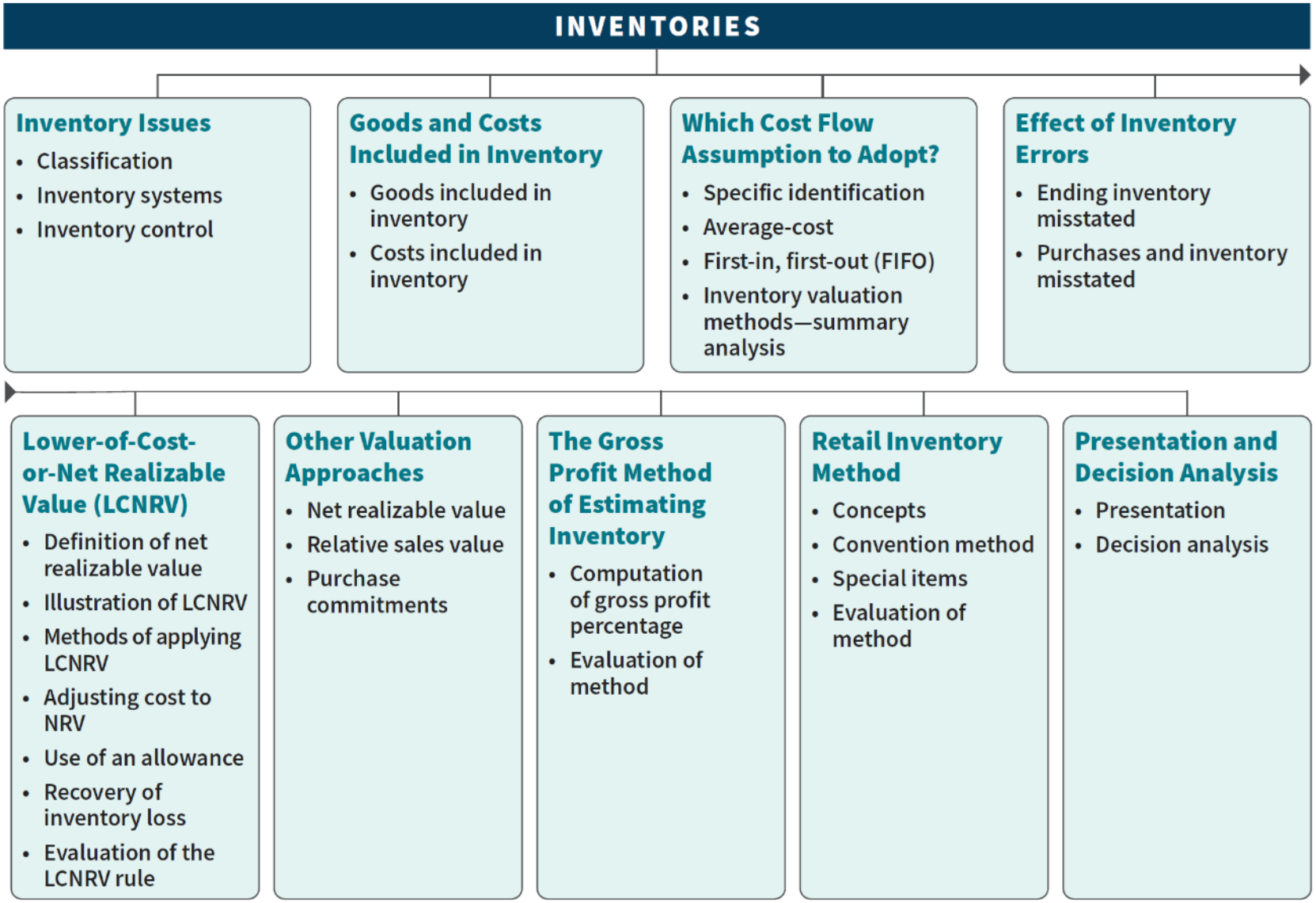
Chapter 6



Inventories

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PREVIEW OF CHAPTER 6



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Inventory Issues

Classification

- **Inventories** are:
  - asset items held for sale in the ordinary course of business, or
  - goods to be used in the production of goods to be sold.

Businesses with Inventory

Merchandising Company	or	Manufacturing Company

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Flow of Costs through Manufacturing and Merchandising Companies

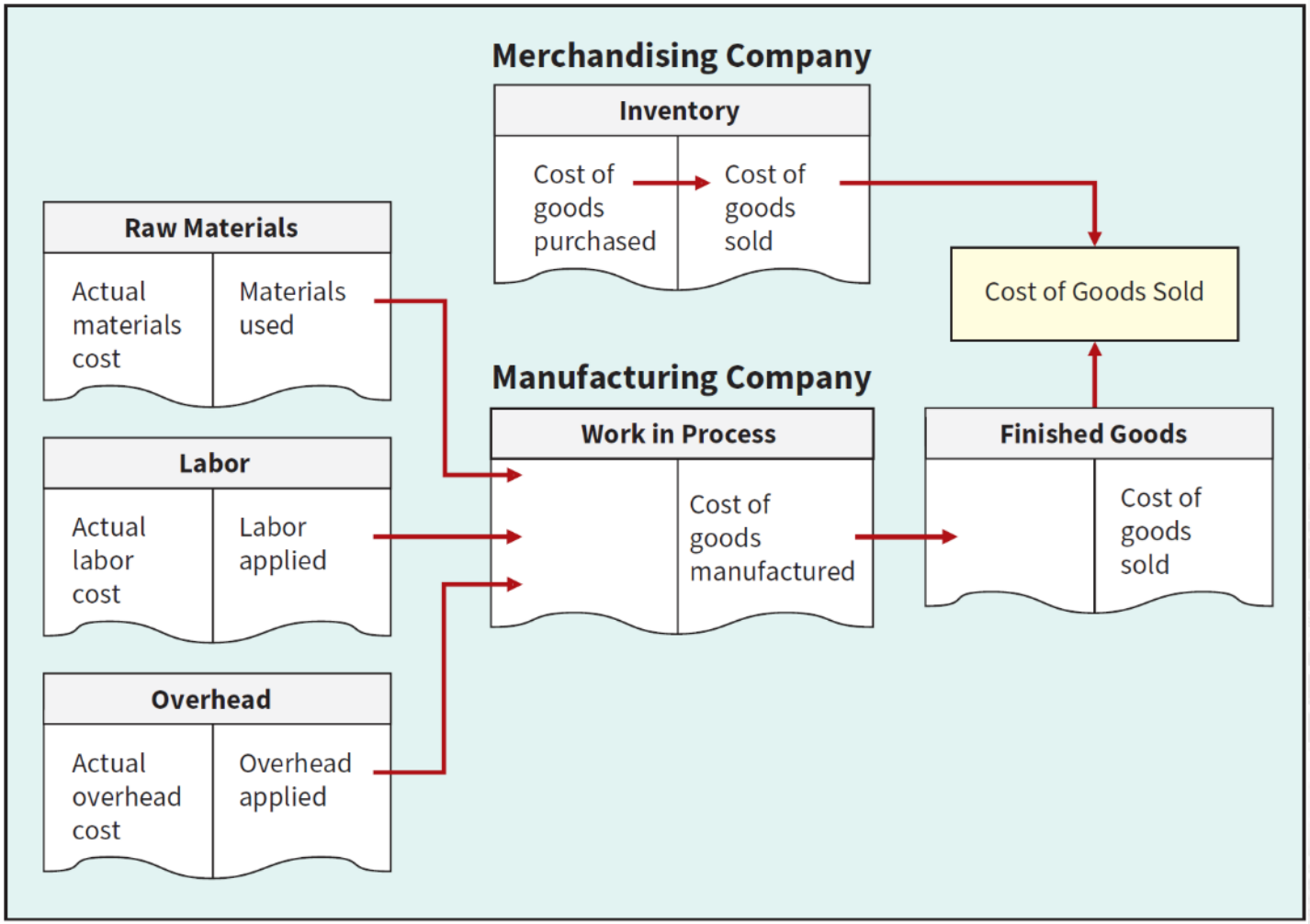
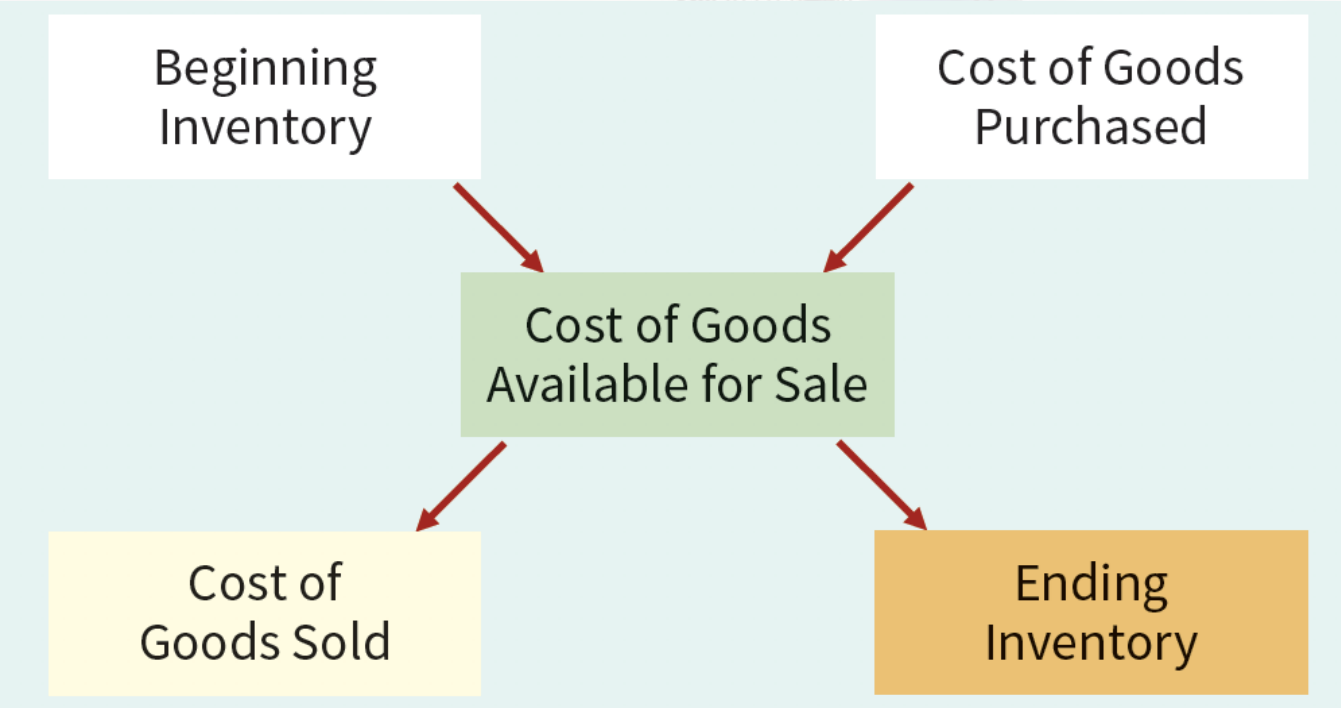


ILLUSTRATION 6.2

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Inventory Cost Flow



Two types of systems for maintaining inventory records — **perpetual system** or **periodic system**.

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Inventory Cost Flow

Perpetual System

1. Purchases of merchandise are debited to Inventory.
2. Freight-in is debited to Inventory. Purchase returns and allowances and purchase discounts are credited to Inventory.
3. Cost of goods sold is debited and Inventory is credited for each sale.
4. Subsidiary records show quantity and cost of each type of inventory on hand.

The **perpetual inventory system** provides a **continuous record** of the balance in both the **Inventory** and **Cost of Goods Sold** accounts.

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Inventory Cost Flow

Periodic System

1. Purchases of merchandise are debited to Purchases.
2. Ending Inventory determined by physical count.
3. Calculation of Cost of Goods Sold by subtracting the ending inventory from the cost of goods available for sale.

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Comparative Entries—Perpetual vs. Periodic

Perpetual Inventory System			Periodic Inventory System		
Beginning inventory, 100 units at $6					
The Inventory account shows the inventory on hand at $600.			The Inventory account shows the inventory on hand at $600.		
Purchase 900 units at $6					
Inventory	5,400		Purchases	5,400	
Accounts Payable		5,400	Accounts Payable		5,400
Sale of 600 units at $12					
Accounts Receivable	7,200		Accounts Receivable	7,200	
Sales Revenue		7,200	Sales Revenue		7,200
Cost of Goods Sold (600 at $6)	3,600		(No entry)		
Inventory		3,600			
End-of-period entries for inventory accounts, 400 units at $6					
No entry necessary. The Inventory account shows the ending balance of $2,400 ($600 + $5,400 − $3,600).			Inventory (ending, by count)	2,400	
			Cost of Goods Sold	3,600	
			Purchases		5,400
			Inventory (beginning)		600

ILLUSTRATION 6.3

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Inventory Control

All companies need periodic verification of the inventory records

- by actual count, weight, or measurement, with
- counts compared with detailed inventory records.

Companies should take the **physical inventory**

- near the end of their fiscal year,
- to properly report inventory quantities in their annual accounting reports.

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Goods and Costs Included in Inventory

- A company recognizes inventory and accounts payable at the time it controls the asset.
- Passage of title is often used to determine control because the rights and obligations are established legally.

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Costs Included in Inventory

Product Costs vs Period Costs

Product Costs

- Costs directly connected with bringing the goods to the buyer's place of business and converting such goods to a salable condition.

Period Costs

- Indirectly related to the acquisition of goods and are generally more difficult to assign to specific inventory items.

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Product versus Period Costs

Illustration

Type of Cost	Examples	Accounting Treatment
Product cost	• Freight charges on goods purchased • Insurance costs incurred by buyer while goods are in transit • Unpacking and unloading costs • Preparing goods for sale	Included in the inventory asset account in the statement of financial position
Period cost	• Selling expenses related to inventory • Interest costs related to financing inventory purchases[3] • General and administrative costs related to inventory	Expensed as incurred in the income statement

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Cash Discounts (Purchase Discounts)

Purchase or trade discounts are reductions in the selling prices granted to customers.

IASB requires these discounts to be recorded as a reduction from the cost of inventories.

Purchase discounts can be accounted for using either the gross method or the net method. Under the gross method, a company records its purchases and accounts payable at the invoice price. Under the net method, a company recognizes the purchase and related accounts payable at the invoice price less the cash discount.

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Purchase Discounts Illustration

Entries Under Gross and Net Methods

Gross Method			Net Method		
Purchase cost $10,000, terms 2/10, net 30					
Purchases	10,000		Purchases	9,800	
Accounts Payable		10,000	Accounts Payable		9,800
Invoices of $4,000 are paid within discount period					
Accounts Payable	4,000		Accounts Payable	3,920	
Purchase Discounts		80	Cash		3,920
Cash		3,920			
Invoices of $6,000 are paid after discount period					
Accounts Payable	6,000		Accounts Payable	5,880	
Cash		6,000	Purchase Discounts Lost	120	
			Cash		6,000

If using a perpetual inventory system, entries to Purchases and Purchase Discounts are recorded in the Inventory account.

ILLUSTRATION 6.5

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Which Cost Flow Assumptions to Adopt?

Cost Flow Methods

- Specific Identification

  or

- **Two cost flow assumptions**
  - First-in, First-out (FIFO) or
  - Average Cost

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Cost Flow Methods

Specific Identification

- **Method may be used only in instances where it is practical to separate physically the different purchases made.** Cost of goods sold includes costs of the specific items sold.
- Used when handling a relatively small number of costly, easily distinguishable items.
- Matches actual costs against actual revenue.
- Cost flow matches the physical flow of the goods.
- May allow a company to manipulate net income.

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Cost Flow Methods

Average-Cost

- Prices items in the inventory on the basis of the average cost of all similar goods available during the period.
- Not as subject to income manipulation.
- Measuring a specific physical flow of inventory is often impossible.

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Cost Flow Methods

First-In, First-Out (FIFO)

- Assumes goods are used in the order in which they are purchased.
- Approximates the physical flow of goods.
- Ending inventory is close to current cost.
- Fails to match current costs against current revenues on the income statement.

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Comparative Results of Average-Cost and FIFO Methods

	Average-Cost	FIFO
Sales	€60,000	€60,000
Cost of goods sold	18,000[a]	16,000[b]
Gross profit	42,000	44,000
Operating expenses	10,000	10,000
Income before taxes	32,000	34,000
Income taxes (40%)	12,800	13,600
Net income	€19,200	€20,400

[a] 4,000 @ €3 = €12,000
6,000 @ €4 = 24,000
€36,000

€36,000 ÷ 10,000 = €3.60
€3.6 × 5,000 = €18,000

[b] 4,000 @ €3 = €12,000
1,000 @ €4 = 4,000
€16,000

ILLUSTRATION 6.11

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Balances of Selected Items under Alternative Inventory Valuation Methods

When prices are rising, average-cost results in the higher cash balance at year-end (because taxes are lower).

	Inventory	Gross Profit	Taxes	Net Income	Retained Earnings	Cash
Average-Cost	€18,000 (5,000 × €3.60)	€42,000	€12,800	€19,200	€29,200 (€10,000 + €19,200)	€20,200[a]
FIFO	€20,000 (5,000 × €4)	€44,000	€13,600	€20,400	€30,400 (€10,000 + €20,400)	€19,400[a]

[a]Cash at Year-End	=	Beg. Balance	+	Sales	−	Purchases	−	Operating expenses	−	Taxes
Average-cost—€20,200	=	€7,000	+	€60,000	−	€24,000	−	€10,000	−	€12,800
FIFO—€19,400	=	€7,000	+	€60,000	−	€24,000	−	€10,000	−	€13,600

ILLUSTRATION 6.12

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Effect of Inventory Errors

Ending Inventory Misstated

Statement of Financial Position		Income Statement	
Inventory	Understated	Cost of goods sold	Overstated
Retained earnings	Understated		
Working capital	Understated	Net income	Understated
Current ratio	Understated		

ILLUSTRATION 6.13

The effect of an error on net income in one year will be counterbalanced in the next, however the income statement will be misstated for both years.

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Financial Statement Effects of Misstated Purchases and Inventory

Statement of Financial Position		Income Statement	
Inventory	Understated	Purchases	Understated
Retained earnings	No effect	Cost of goods sold	No effect
Accounts payable	Understated	Net income	No effect
Working capital	No effect	Inventory (ending)	Understated
Current ratio	Overstated		

ILLUSTRATION 6.15

The understatement does not affect cost of goods sold and net income because the errors offset one another.

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Lower-of-Cost-or-Net Realizable Value (LCNRV)

A company abandons the historical cost principle when the future utility (revenue-producing ability) of the asset drops below its original cost.

Definition of Net Realizable Value

- Estimated selling price in the ordinary course of business, less reasonably predictable costs of completion, disposal, and transportation

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Determining Final Inventory Value

Jinn-Feng Foods computes its inventory at LCNRV (amounts in thousands).

Food	Cost	Net Realizable Value	Final Inventory Value
Spinach	¥ 80,000	¥120,000	¥ 80,000
Carrots	100,000	110,000	100,000
Cut beans	50,000	40,000	40,000
Peas	90,000	72,000	72,000
Mixed vegetables	95,000	92,000	92,000
			¥384,000

Final Inventory Value:	
Spinach	Cost (¥80,000) is selected because it is lower than net realizable value.
Carrots	Cost (¥100,000) is selected because it is lower than net realizable value.
Cut beans	Net realizable value (¥40,000) is selected because it is lower than cost.
Peas	Net realizable value (¥72,000) is selected because it is lower than cost.
Mixed vegetables	Net realizable value (¥92,000) is selected because it is lower than cost.

ILLUSTRATION 6.18

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Methods of Applying LCNRV

- In most situations, companies price inventory on an item-by-item basis for two reasons.
  1. Tax rules in some countries require that companies use an individual-item basis.
  2. Individual-item approach gives the lowest valuation for statement of financial position purposes.

- Method should be applied consistently from one period to another.

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Use of an Allowance

- Instead of crediting the Inventory account for NRV adjustments, companies generally use an allowance account, often referred to as **Allowance to Reduce Inventory to NRV.**
- Using an allowance account under the loss method, Ricardo SpA makes the following entry to record the inventory write-down to NRV.

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Recovery of Inventory Loss

Recovery of Inventory Loss

- Amount of **write-down is reversed.**
- Reversal **limited** to amount of original write-down.

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Effect on Net Income of Adjusting Inventory to Net Realizable Value

- Allowance account is adjusted in subsequent periods, such that inventory is reported at the LCNRV.
- **Illustration 6.23** shows **net realizable value** evaluation for Vuko Company and the effect of net realizable value adjustments on income.

Date	Inventory at Cost	Inventory at NRV	Amount Required in Allowance Account	Adjustment of Allowance Account Balance	Effect on Net Income
Dec. 31, 2026	₱188,000	₱176,000	₱12,000	₱12,000 inc.	Decrease
Dec. 31, 2027	194,000	187,000	7,000	5,000 dec.	Increase
Dec. 31, 2028	173,000	174,000	0	7,000 dec.	Increase
Dec. 31, 2029	182,000	180,000	2,000	2,000 inc.	Decrease

ILLUSTRATION 6.23

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Evaluation of LCNRV Rule

LCNRV rule suffers some conceptual deficiencies:

1. A company recognizes decreases in the value of the asset and the charge to expense in the period in which the loss in utility occurs—not in the period of sale.
2. Application of the rule results in inconsistency because a company may value the inventory at cost in one year and at net realizable value in the next year.
3. LCNRV values the inventory in the statement of financial position conservatively, but its effect on the income statement may or may not be conservative. Net income for the year in which a company takes the loss is definitely lower. Net income of the subsequent period may be higher than normal if the expected reductions in sales price do not materialize.

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Valuation at Net Realizable Value

Departure from LCNRV rule may be justified in situations when

- cost is difficult to determine,
- items are readily marketable at quoted market prices, and
- units of product are interchangeable.

Two common situations in which **NRV is the general rule**:

- Agricultural assets
- Commodities held by broker-traders.

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Net Realizable Value

Agricultural Inventory—Biological Asset

Biological asset (classified as a **non-current asset**) is a living animal or plant, such as sheep, cows, fruit trees, or cotton plants.

- Biological assets are measured on initial recognition and at the end of each reporting period at fair value less costs to sell (NRV).
- Companies record gain or loss due to changes in NRV of biological assets in income when it arises.

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Net Realizable Value

Agricultural Inventory—Agricultural Produce

Agricultural produce is the harvested product of a biological asset, such as wool from a sheep, milk from a dairy cow, picked fruit from a fruit tree, or cotton from a cotton plant.

- Agricultural produce are measured at fair value less costs to sell (NRV) at the point of harvest.
- Once harvested, the NRV becomes cost.

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Net Realizable Value

Commodity Broker-Traders

Generally measure their inventories at fair value less costs to sell (NRV), with changes in NRV recognized in income in the period of the change.

- Buy or sell commodities (such as harvested corn, wheat, precious metals, heating oil).
- Primary purpose is to
  - sell the commodities in the near term and
  - generate a profit from fluctuations in price.

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Purchase Commitments —

A Special Problem

- Generally seller retains title to the merchandise.
- Buyer recognizes no asset or liability.
- If material, the buyer should disclose contract details in note in the financial statements.
- If the contract price is **greater than the market price**, and the **buyer expects that losses will occur** when the purchase is effected, the buyer should recognize a liability and corresponding loss in the period during which such declines in market prices take place.

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Gross Profit Method of Estimating Inventory

Substitute Measure to Approximate Inventory

Relies on three assumptions:

1. Beginning inventory plus purchases equal total goods to be accounted for.
2. Goods not sold must be on hand.
3. The sales, reduced to cost, deducted from the sum of the opening inventory plus purchases, equal ending inventory.

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Formulas Relating to Gross Profit and

$$1.\ \text{Gross Profit on Selling Price} = \frac{\text{Percentage Markup on Cost}}{100\% + \text{Percentage Markup on Cost}}$$

$$2.\ \text{Percentage Markup on Cost} = \frac{\text{Gross Profit on Selling Price}}{100\% - \text{Gross Profit on Selling Price}}$$

Gross Profit on Selling Price		Percentage Markup on Cost
Given: 20%	→	$\frac{.20}{1.00 - .20} = 25\%$
Given: 25%	→	$\frac{.25}{1.00 - .25} = 33\frac{1}{3}\%$
$\frac{.25}{1.00 + .25} = 20\%$	←	Given: 25%
$\frac{.50}{1.00 + .50} = 33\frac{1}{3}\%$	←	Given: 50%

ILLUSTRATION 6.29

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Evaluation of Gross Profit Method

Disadvantages

1) Provides an estimate of ending inventory.
2) Uses past percentages in calculation.
3) A blanket gross profit rate may not be representative.

Normally unacceptable for financial reporting purposes because it provides only an estimate.

IFRS requires a physical inventory as additional verification of the inventory indicated in the records.

Note that the gross profit method will follow closely the inventory method used (FIFO or average-cost) because it relies on historical costs.

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Retail Inventory Method

- Method used by retailers to compile inventories at retail prices. Retailer can use a formula to **convert retail prices to cost**.
- **Requires** retailers to keep a record of:
  1) Total cost and retail value of goods purchased.
  2) Total cost and retail value of the goods available for sale.
  3) Sales for the period.

Methods

- Conventional Method (or LCNRV)
- Cost Method

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Retail Inventory Method Concepts

Markup—an additional markup of the original retail price.

- **Markup cancellations**—decreases in prices of merchandise that the retailer had marked up above the original retail price.
- **Markdowns**—decreases in the original sales prices.
- **Markdown cancellations**—occur when the markdowns are later offset in increases in the prices of goods that the retailer had marked down.
- Neither a markup cancellation nor a markdown cancellation can exceed the original markup or markdown.

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Retail Inventory Method Concepts

Cost Ratios

- **Conventional Retail Method**—Computes a ratio after net markups but before net markdowns.
- **Cost Method**—Computes a ratio after both net markups and markdowns.

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Special Items Relating to Retail Method

- Freight costs
- Purchase returns
- Purchase discounts and allowances
- Transfers-in
- Normal shortages
- Abnormal shortages
- Employee discounts

When sales are recorded gross, companies **do not** recognize **sales discounts**.

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Evaluation of Retail Inventory Method

Used for the following reasons:

1) To permit the computation of net income without a physical count of inventory.
2) Control measure in determining inventory shortages.
3) Provides insurance information in case of a fire, flood, or other casualty.

Some companies refine the retail method by computing inventory separately by departments or class of merchandise with similar gross profits.

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Presentation of Inventories

Accounting standards require disclosure of:

1) Accounting policies adopted in measuring inventories, including the cost formula used (weighted-average, FIFO).
2) Total carrying amount of inventories and the carrying amount in classifications (merchandise, production supplies, raw materials, work in progress, and finished goods).
3) Carrying amount of inventories carried at fair value less costs to sell.
4) Amount of inventories recognized as an expense during the period.

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Presentation of Inventories

Accounting standards require disclosure of:

5) Amount of any write-down of inventories recognized as an expense in the period and the amount of any reversal of write-downs recognized as a reduction of expense in the period.
6) Circumstances or events that led to the reversal of a write-down of inventories.
7) Carrying amount of inventories pledged as security for liabilities, if any.

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Analysis of Inventories

- Common ratios used in the management and evaluation of inventory levels are **inventory turnover** and **average days to sell the inventory**.

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LIFO Cost Flow Assumption

- Under IFRS, LIFO is not permitted for financial reporting purposes.
- Nonetheless, LIFO is permitted for financial reporting purposes in the United States, it is permitted for tax purposes in some countries, and its use can result in significant tax savings.
- In this appendix, we provide an expanded discussion of LIF O inventory procedures.

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Last-In, First-Out (LIFO)

Recall that Call-Mart Inc. had the following transactions in its first month of operations.

Date	Purchases	Sold or Issued	Balance
March 2	2,000 @ €4.00		2,000 units
March 15	6,000 @ €4.40		8,000 units
March 19		4,000 units	4,000 units
March 30	2,000 @ €4.75		6,000 units

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LIFO Method—Periodic Inventory

Date of Invoice	No. of Units	Unit Cost	Total Cost
March 2	2,000	€4.00	€ 8,000
March 15	4,000	4.40	17,600
Ending inventory	6,000		€25,600

Goods available for sale	€43,900
Deduct: Ending inventory	25,600
Cost of goods sold	€18,300

ILLUSTRATION 6A.1

The cost of the total quantity sold or issued during the month comes from the most recent purchases.

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LIFO Method—Perpetual Inventory

Date	Purchased		Sold or Issued	Balance	
March 2	(2,000 @ €4.00)	€ 8,000		2,000 @ €4.00	€ 8,000
March 15	(6,000 @ 4.40)	26,400		2,000 @ 4.00 6,000 @ 4.40	34,400
March 19			(4,000 @ €4.40) €17,600	2,000 @ 4.00 2,000 @ 4.40	16,800
March 30	(2,000 @ 4.75)	9,500		2,000 @ 4.00 2,000 @ 4.40 2,000 @ 4.75	26,300

ILLUSTRATION 6A.2

LIFO results in different ending inventory and cost of goods sold amounts than the amounts calculated under the periodic method.

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Inventory Valuation Methods—

Summary Analysis Including LIFO

Comparison assumes periodic inventory procedures and the following selected data.

Beginning cash balance		€ 7,000
Beginning retained earnings		€10,000
Beginning inventory:	4,000 units @ € 3	€12,000
Purchases:	6,000 units @ € 4	€24,000
Sales:	5,000 units @ €12	€60,000
Operating expenses		€10,000
Income tax rate		40%

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Comparative Results of Average – Cost, FIFO, and LIFO Methods

	Average-Cost	FIFO	LIFO
Sales	€60,000	€60,000	€60,000
Cost of goods sold	18,000[a]	16,000[b]	20,000[c]
Gross profit	42,000	44,000	40,000
Operating expenses	10,000	10,000	10,000
Income before taxes	32,000	34,000	30,000
Income taxes (40%)	12,800	13,600	12,000
Net income	€19,200	€20,400	€18,000
	[a]4,000 @ €3 = €12,000	[b]4,000 @ €3 = €12,000	[c]5,000 @ €4 = €20,000
	6,000 @ €4 = €24,000	1,000 @ €4 = € 4,000	
	€36,000	€16,000	
	€36,000 ÷ 10,000 = € 3.60		
	€ 3.60 × 5,000 = €18,000		

ILLUSTRATION 6A.3

Notice that gross profit and net income are lowest under LIFO, highest under FIFO, and somewhere in the middle under average-cost.

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Balances of Selected Items Under Alternative Inventory Methods Including LIFO

	Inventory	Gross Profit	Taxes	Net Income	Retained Earnings	Cash
Average-Cost	€18,000 (5,000 × €3.60)	€42,000	€12,800	€19,200	€29,200 (€10,000 + €19,200)	€20,200[a]
FIFO	€20,000 (5,000 × €4)	€44,000	€13,600	€20,400	€30,400 (€10,000 + €20,400)	€19,400[a]
LIFO	€16,000 (4,000 × €3) (1,000 × €4)	€40,000	€12,000	€18,000	€28,000 (€10,000 + €18,000)	€21,000[a]

[a]Cash at year-end	=	Beg. Balance	+	Sales	–	Purchases	–	Operating expenses	–	Taxes
Average-cost—€20,200	=	€7,000	+	€60,000	–	€24,000	–	€10,000	–	€12,800
FIFO—€19,400	=	€7,000	+	€60,000	–	€24,000	–	€10,000	–	€13,600
LIFO—€21,000	=	€7,000	+	€60,000	–	€24,000	–	€10,000	–	€12,000

ILLUSTRATION 6A.4

LIFO results in the highest cash balance at year-end (because taxes are lower). This example assumes that prices are rising. The opposite result occurs if prices are declining.

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